

Following the Crowd

The State of UK Crowdfunding
2020



Beauhurst

Introduction

For many years, the chance to invest in promising private companies was exclusive to an elite few. Only those who actively managed funds, or who had substantial capital and industry links, could feasibly participate in funding, and eventually profit from the UK's most exciting and high-growth companies.

But this all changed with the advent of crowdfunding platforms, back in the 2000s. These organisations have effectively democratised support for high-growth companies, and made it possible for novice and hobbyist investors to buy equity stakes in ambitious companies, from as little as £10. Thousands of investors can partake in a single round, each receiving a small equity stake in return, in the hope that the company will eventually undergo an IPO or an acquisition for a healthy sum.

This form of investing has come on leaps and bounds in the past decade. In 2011, only 8 deals were backed by crowdfunding websites; in 2019, crowdfunders backed 422 deals, making them the second most active investor type, behind Venture Capital and Private Equity firms.

But it's not all about the money. Crowdfunding is a great way for businesses to engage an existing user base and reach new communities of people, building strong, lasting customer relationships.

In this report, we've explored the characteristics of these investments and how they've performed over time. We've also profiled the ten companies that have secured the largest amount of funding from the crowd in 2020 so far.

Definitions

Crowdfunded companies

Any UK company that has successfully raised finance through an equity crowdfunding platform since 2011.

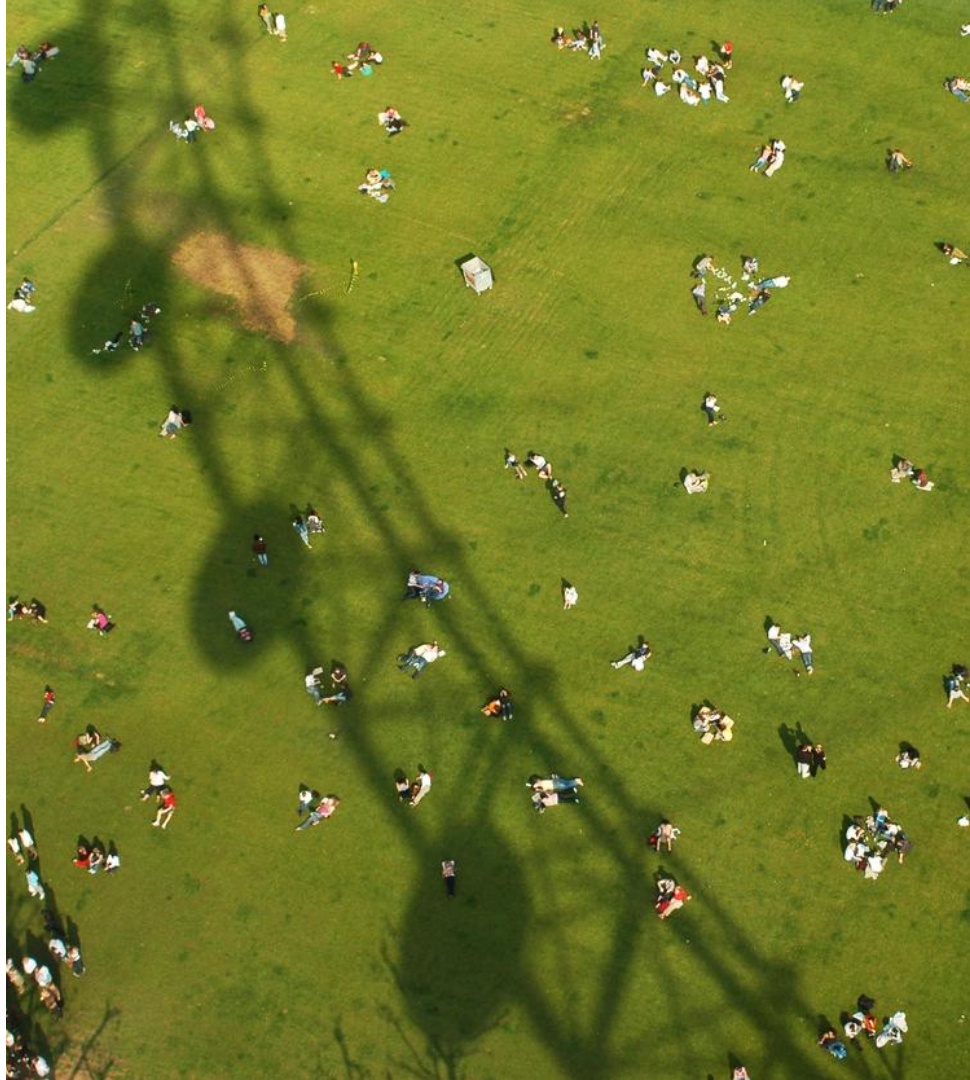
1,632 companies have secured crowdfunding between 2011 and H1 2020.

VC-backed / venture-backed companies

Any UK company that has successfully raised equity finance from a venture capital or private equity firm since 2011 (unless otherwise stated), where we can confirm the identity of the investing fund.

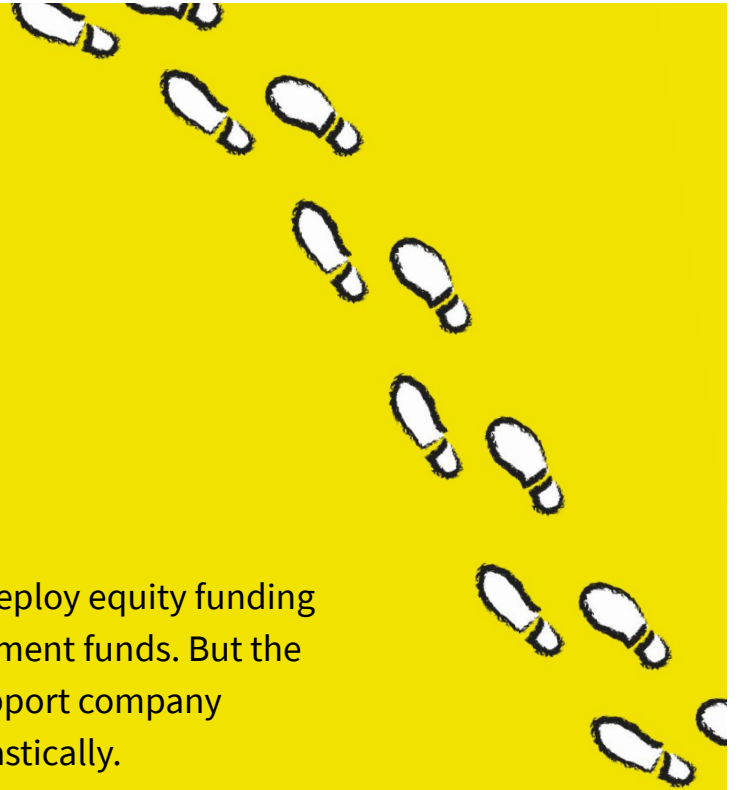
3,434 companies have secured venture funding between 2011 and H1 2020.

298 companies have secured both forms of funding, and are double counted in this analysis.



The Lay of the Land

There are a wide range of different investor types that can deploy equity funding in the UK, from angels and crowdfunders to VCs and government funds. But the characteristics of these funds, the manner in which they support company growth, and the profiles of recipient companies can vary drastically.



What makes crowdfunding different?

Most crowdfunding deals use a nominee structure to manage the investment on the crowd's behalf. So whilst other investor types, from VCs to angels, can be as involved or as hands off with their portfolio companies as they'd like, the crowd is precluded from this interaction.

Choosing to raise finance through crowdfunding allows founders to reduce the risk of taking on demanding new investors, allowing them to maintain greater control of the company's direction.

But it also means forgoing the industry expertise, knowledge, and connections that funds and angel investors bring to the table. Indeed, many VCs will play an active role in their portfolio companies, often taking a seat on the board of directors and providing personalised guidance.



Stages of Evolution

Crowdfunded companies tend to be in earlier stages of evolution than VC-backed businesses. Historically, it's been new B2C businesses that have pursued crowdfunding, sometimes with a new product or one that is still being developed.

But these figures have been fluctuating over time. As crowdfunding has become a more popular and trusted form of investment, later-stage businesses are also turning to this collective form of finance.

In 2013, 82% of crowdfunding deals were completed with seed stage companies. By the end of 2019 this figure had dropped to 49%.

Stages of evolution of companies at deal date 2011 – H1 2020

Seed Venture Growth Established

Crowdfunded companies



Venture-backed companies



Exit and Death Rates

Differences between investor types are also reflected in the exit and death rates of companies funded since 2011.

Those that received capital from the crowd are almost twice as likely to have died, and four times less likely to have exited than VC-backed companies.

Just 3% of crowdfunded companies have reached an IPO or successful acquisition, compared to 12% of venture-backed companies.

They are also less likely to have progressed to later stages of growth, instead stagnating in their current growth stages.

Relative stage of evolution since time of fundraising 2011 – H1 2020

■ Unchanged ■ Progressed ■ Exited ■ Dead

Crowdfunded companies



Venture-backed companies



Geography London

The geographic distribution of companies funded by crowdfunders versus venture capital and private equity funds is relatively similar.

Both fund types invest heavily into London-based companies. Between 2011 and H1 2020, 873 companies in London have secured funding from the crowd, representing 59% of all crowdfunded businesses in the UK.

In the same period, 1,679 London-based companies have secured funding from VC and PE firms, representing 58% of all venture-backed businesses in the UK.

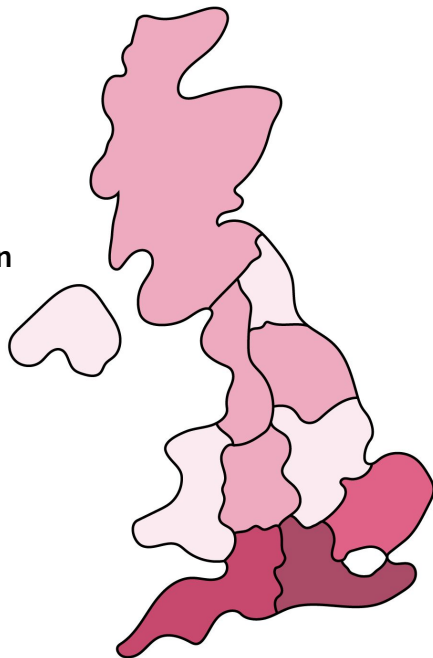
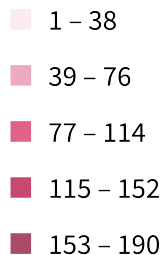
The next most popular destination for funding is the South East. 12% of crowdfunded businesses and 12% of venture-backed businesses are based in the South East.



Geography

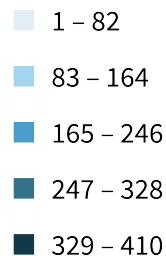
The Regions

Heatmap of crowdfunded companies outside London
2011 – H1 2020



But there are some distinctions in the regional spread of companies backed by different investor types. Crowdfunders are especially present in the South West, which is perhaps related to Crowdcube's presence in Exeter.

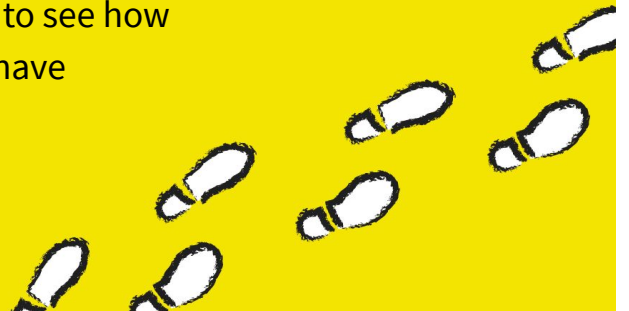
Heatmap of venture-backed companies outside London
2011 – H1 2020



Venture funds tend to focus on the East of England, where there is a cluster of deeptech companies in and around Cambridge, as well as the North West and Scotland.

The State of the Market in 2020

Overall UK investment figures have declined over the past three halves, but how has crowdfunding fared? We've taken a closer look at the data to see how flows of investment have changed over time, and which platforms have facilitated the bulk of these transactions.



Crowdfunding over time

H2 2019 was the best half on record in terms of deal numbers, but H2 2018 saw the most pounds invested.

H1 2020 was the fourth highest half for the number of pounds invested by crowdfunders, but the third highest for number of deals completed.

Although crowdfunding activity decreased from H2 2019, both the number of deals and amount raised increased between H1 2019 and H1 2020. Against a tough backdrop, these figures are very positive.

But it's unclear how, and to what extent, these figures will change in the near future. As the UK economy descends into a recession and the general public has less disposable income, we expect that crowdfunding activity will shrink further than that of institutional funds.

**Number of deals and amount raised via crowdfunding
2017 – H1 2020**



Top platforms H1 2020

Crowdcube facilitated the most investment rounds of any UK platform in H1 2020, with 97 deals including 2 pre-emption rounds.

Seedrs completed slightly fewer deals, but at a higher average ticket price, with a total of £49.7m invested over 95 deals, including 27 pre-emption rounds.

A pre-emption round offers existing investors the chance to buy new shares from a business, before new investors. This allows existing investors to maintain their stake in the company and avoid dilution. Only existing investors can invest in these rounds.

Number of deals and amount raised per platform H1 2020

Seedrs

95 deals (inc. 27 pre-emptions)



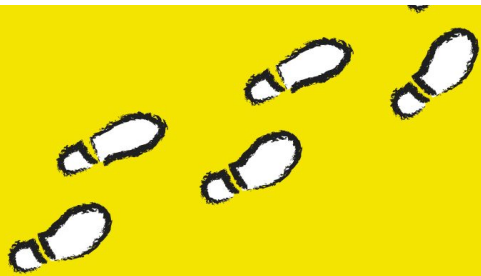
worth £49.7m

Crowdcube

97 deals (inc. 2 pre-emptions)



worth £48.5m

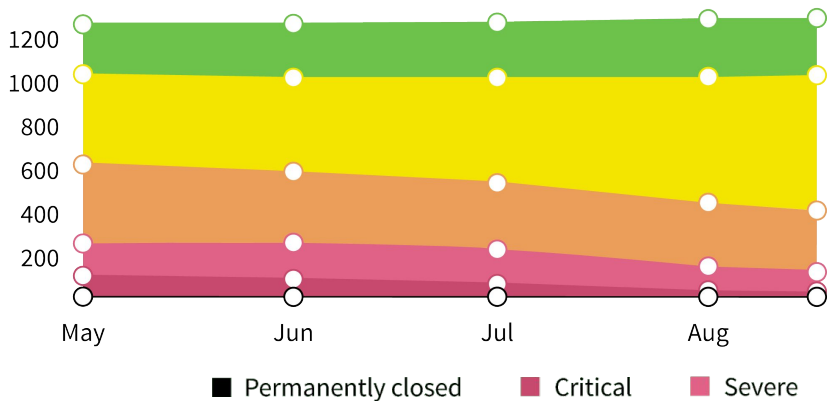


The Impact of Coronavirus

The coronavirus outbreak has had a massive effect on businesses across the globe. But not all businesses have been impacted equally. Our research shows that crowdfunded companies are more likely to be negatively impacted by COVID-19 than companies that have received VC backing.

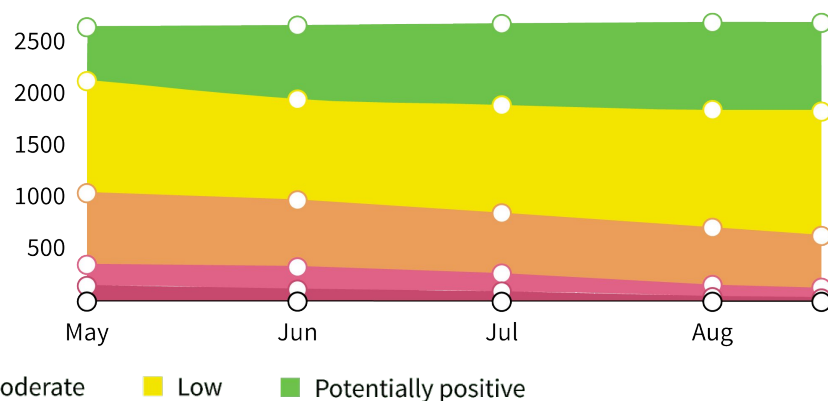
The Impact of COVID-19

Impact of COVID-19 on crowdfunded companies



Whilst there's been a decrease in the severity of business impact across both crowdfunded and VC-backed companies, those that have the backing of a venture capital fund are more likely to have bounced back. Currently, 17% of crowdfunded companies have experienced a positive impact, compared to 26% of VC-backed businesses.

Impact of COVID-19 on VC-backed companies

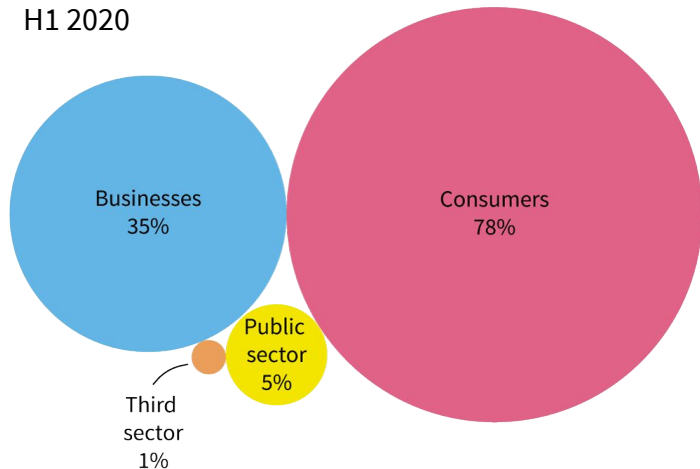


The increase in the proportion of positively impacted businesses between the beginning of May and the beginning of June suggests that VC-backed businesses were quicker to adapt their business operations.

Factors at play Target markets

Crowdfunded companies

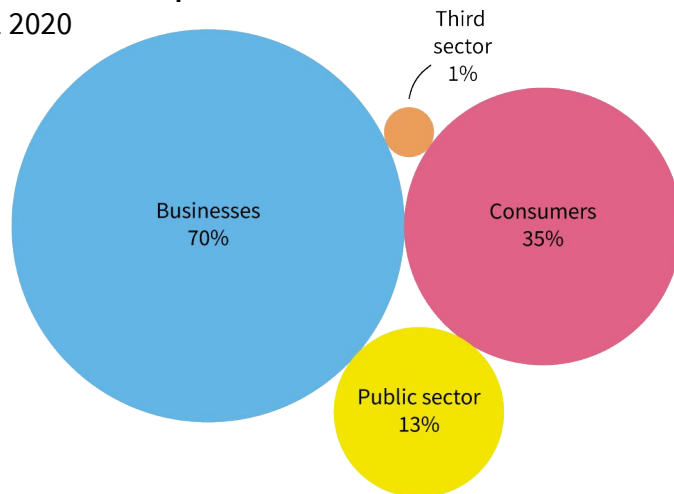
H1 2020



Crowdfunded companies are more likely to cater to consumers, whereas VC-backed companies are more likely to cater to businesses and the public sector.

VC-backed companies

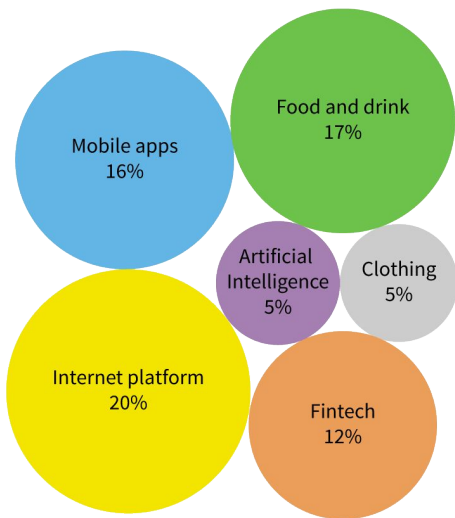
H1 2020



With so much of normal life on hold, and less consumer spending, it's not surprising that crowdfunded companies have been more negatively impacted.

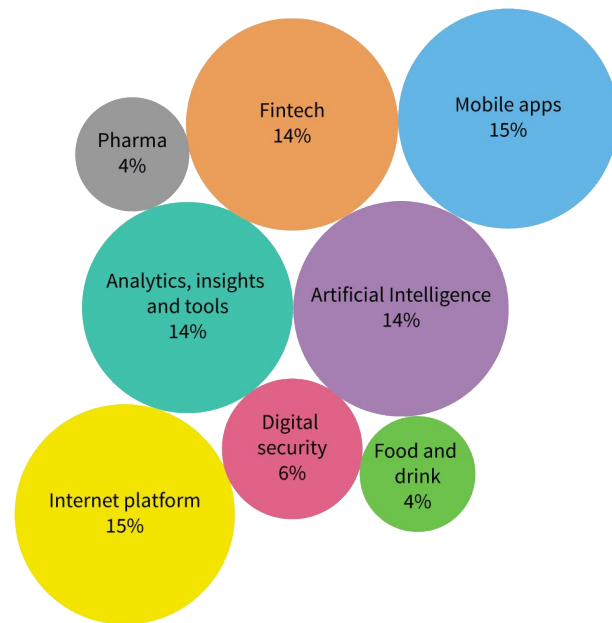
Factors at play Sectors

Crowdfunded companies H1 2020



On top of this, crowdfunded companies are more likely to be in highly-impacted sectors, such as food & drinks and clothing, which took a much harder hit during lockdown.

VC-backed companies H1 2020



VC-backed companies are more likely to be in remote-ready sectors, such as internet platforms, business banking and security.



Top 10 crowdfunded companies 2020

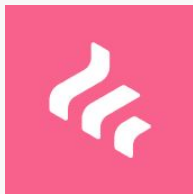
We've profiled the ten companies that have raised the most money through crowdfunding in H1 2020. Unsurprisingly, there are a number of fintechs on the list, but there are also some unlikely features. From vegan subscription boxes to sustainable toilet roll, these are the crowd's top picks.

1. Freetrade | £6.69m

Founded 2015

Sector Fintech

Location Tower Hamlets



Freetrade is developing a commission fee-free platform for investing in stocks and funds. Founded in 2015, and already used by over 200,000 customers, its mission is to make the process of investing more accessible, simple and cheaper.

To date, the growth stage company has raised £24.5m over seven funding rounds. Six of these rounds included participation from the crowd, all facilitated by Crowdcube



The most recent of these rounds took place in May, and totalled £6.69m. The round was completed in just five days with participation from 8,500 investors.

This capital will be used to grow Freetrade's headcount and further expand its customer base in the UK and Europe. It will soon be launching Freetrade Plus, a premium account.

2. B-North | £5.74m

Founded 2017

Sector Fintech

Location Manchester



B-North operates a bank, focussing on SME lending, with the aim to lend up to ten times faster than incumbent banks.

The company plans to use a combination of fintech and face-to-face services through pop up lending pods. Once operational, the bank will deliver loans of between £500k and £5m to ambitious small businesses looking to scale up.

To date, the Manchester-based startup has raised a total of

£21m in funding and is currently in the venture stage of evolution.

In January 2020, B-North raised more than £3.7m in funding through two separate crowdfunding platforms, Crowdcube (£2m) and Growthfunders (£1.7m). This was followed by an additional round through Growthfunders in April, which totalled £2.04m. Combined, these rounds are worth nearly £6m. The money raised will allow B-North to continue expanding its workforce and infrastructure.

3. Allplants | £4.01m

Founded 2016

Sector Food & Drink

Location Haringey

allplants



London startup Allplants provides a subscription box of vegan meals. Brothers Alex and Jonathan Petrides started the company in 2016 to make it easier for people to incorporate plant-based meals into their diets.

Allplants has recently celebrated serving one million vegan meals from its kitchen in North London, and has received several Great Taste Gold Star Awards. To date, it has secured a total of £13.8m in equity fundraising and is currently in the venture stage of evolution.

The company completed its first crowdfunding campaign in March 2020 through Seedrs. The initial funding goal was £2m, but this was quickly met after 48 hours. It then went on to raise a total of £4.01m and welcomed a total of 1,800 investors on board.

The funds from this round are being used to build a bigger kitchen, develop new food categories and increase the weekly production of meals to over 60,000.

4. Bidvine | £2.76m

Founded 2014

Sector Services on Demand

Location City of London



Bidvine has developed an online service that puts customers in touch with local service providers such as tutors, fitness instructors and photographers. For service providers, the platform offers a cost per lead marketing option designed to bring new customers to their business.

Bidvine first launched in 2014 and is now in the venture stage of evolution, with over 300 services on offer and more than 100,000 registered professionals.



In March 2020 Bidvine raised £2.76m in equity crowdfunding through Seedrs. Funds from the round will be used to continue to develop the UK marketplace, expanding into international markets and the introduction of additional tools for service professionals.

To date, the company has secured a total of £9.18m in equity fundraisings. By 2025, Bidvine plans to have helped 250,000 local businesses and added 200,000 jobs to its platform.

5. Innis & Gunn | £2.63m

Founded 2003

Sector Food & Drink

Location Edinburgh



Brewery Innis & Gunn operates multiple bars and produces a range of craft beers. Since 2003, the company has been brewing up a wide range of flavoured beers which they sell in over 35 countries. In 2019 the company won the New York International Beer Awards and Scottish Brewery of the Year.

Innis & Gunn raised £2.63m of funding in February 2020 through a successful crowdfunding campaign with Seedrs. Over 3,000 investors participated, with investment coming from across the UK and Europe.



The funding will be used to kit out Innis & Gunn's interior brewhouse, improve warehousing capability, and visitor experience.

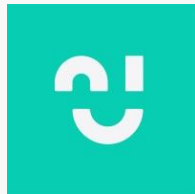
It will also go towards building Edinburgh's largest brewery in 150 years at Heriot-Watt University's Research Park. As a small token of gratitude, each Innis & Gunn investor will have their name displayed on the wall of the brewery.

6. Chip | £2.57m

Founded 2016

Sector Fintech

Location City of London



Chip develops a savings account app that connects to users' current bank account and uses artificial intelligence to determine how much they can afford to save, putting this away automatically.

Founded in 2016, it has already raised a total of £14.8m in equity investment, with much of this secured through crowdfunding. The AI-powered savings app has gained over 11,000 shareholders from four fundraising campaigns on the Crowdcube platform.



The most recent round was raised in April 2020 and totalled £2.57m. Over 4,000 backers took part and the initial £1m target was reached in just a few hours.

The following month it was revealed that Chip had scored FCA authorisation as an Authorised Payments Institution for its money-saving app. The funds from the latest crowdfunding round will be used to launch a new type of savings account and to continue supporting their growth.

7. The Cheeky Panda | £2.41m

Founded 2016

Sector Household Goods

Location City of London



The Cheeky Panda produces sustainable toilet paper from waste bamboo, aiming to reduce deforestation and chemical use in the manufacturing process. The startup launched in 2016, with the mission to encourage consumers to switch to more sustainable products.

The Cheeky Panda has expanded to over 20 international markets and listed with major retailers, including the likes of WHSmith, Boots and Amazon.



The venture stage company first took to equity crowdfunding back in 2016, when it launched a successful rewards-based campaign. Cheeky Panda's most recent and largest raise was in May 2020, when it secured £2.41m through Seedrs, despite an initial target of just £750k.

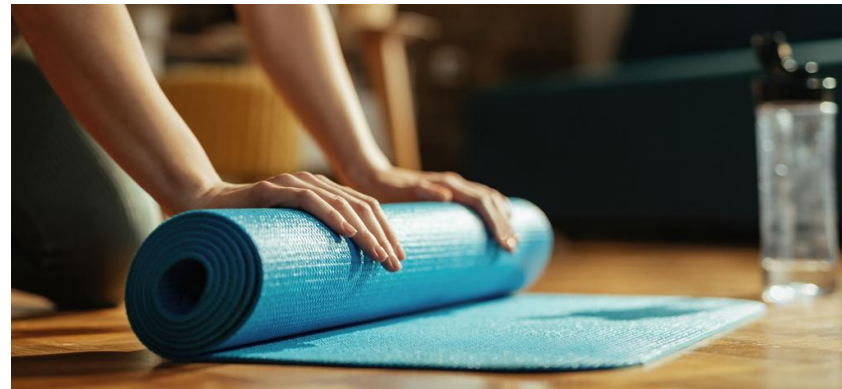
The company also raised £1m in equity fundraising in July 2018 from VC firm Northern & Shell Ventures. This takes Cheeky Panda's total fundraisings to date to £5.83m.

8. TV.FIT | £2.20m

Founded 2016

Sector Health & Fitness

Location East Dunbartonshire

The logo for TV.FIT, featuring the text "TV.FIT" in a sans-serif font. A small red heart symbol is positioned between the "TV" and "FIT" parts of the logo.

TV.FIT provides tailored home and online workout classes with fitness experts and celebrities. The company's at-home health solution is designed for all ages and levels, allowing people to work out in the flexibility and comfort of their own homes in exchange for a monthly subscription.

Launched in 2016, TV.FIT is currently in the seed stage and based in the West of Scotland, with subscribers in 66 countries across the world.

In May of this year, TV.FIT raised £2.2m in crowdfunding through Seedrs, attracting 300 investors. This was the company's first crowdfunding campaign and was launched in April with an initial funding target of £1.4m, which was quickly surpassed.

Funds will be used to grow and expand the TV.FIT platform and possibly contribute to the repayment of some debt. This takes TV.FIT's total fundraisings to £3.97m.

9. Cushon | £2.17m

Founded 2017

Sector Fintech

Location Dorset



Cushon (formerly Smarterly) operates an online platform that offers workplace savings schemes. It lists a number of investment funds and ISAs designed to help simplify the investment process. The company rebrand comes shortly after it entered the pensions market through its acquisition of Salvus Master Trust.

Since being founded in 2017, the fintech has gone on to work with over 100 large businesses and now has over 80,000 customers, with £250m assets under management. To date, it has secured a total of £11.9m in fundraisings.



Cushon is no stranger to crowdfunding, having completed several successful campaigns since 2018. Most recently, in May 2020, it raised £2.17m through Seedrs, which has taken their total amount raised through crowdfunding to £6.38m.

This most recent round was part of a wider £7m fundraising led by family office Major Oak. Cushon has already used some of this investment for its recent acquisition of Salvus, and is now using the remaining balance to focus on market growth and product development.

10. ABM Comms | £2.14m

Founded 2017

Sector Media Production

Location Camden



ABM Communications offers on-demand, subscription-based television streaming services designed to provide content that gives the back story for audiences. Its first channel, True Royalty, is dedicated to featuring royal dramas and documentaries. This channel is available in the USA, Canada, Australia, New Zealand, Ireland, and the UK, with plans to expand into other regions soon.

Founded in 2017, the London-based media production company is already in the venture stage of growth and has achieved significant popularity, particularly in America.



In June 2020, ABM Communications raised £2.14m in its first crowdfunding raise. This has taken their total fundraisings secured to £8.14m.

The initial funding is being used to drive distribution deals through content and marketing. By 2024, ABM Communications hopes to have grown its subscriber base to over 800,000 and have widened its distribution footprint.

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